

**IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(Civil Appellate Jurisdiction)**

First Miscellaneous Appeal No. 353 of 2023

**With
(Civil Rule No. 926 (FM) of 2023)**

In the matter of:

Ssain Apperals Ltd. of 238, Tejgaon, I/A,
Gulshan Link Road, Tejgaon, Dhaka-1208,
Factory Address: 96, Kathgara, Amtala, Zirabo,
Ashulia, Dhaka-1341 represented by its
Managing Director.

... Appellant

-Versus-

Fashion Options Inc. of DBA Generation one
1370, Broadway-suite 901, New York, NY 10018,
USA represented by its Managing Director and
others.

...Respondents.

No one appears

...For the appellant-petitioner

Mr. S. M. Shakhawat Hossain, Advocate

....For the respondent-opposite-party no. 13

Mr. A. B. M Golam Mostafa with

Mr. S. M. Abu Nayem Ahmed and

Mr. Iftekhar Ahmed, Advocates

....For the respondent-opposite-party nos. 12, 14,
16-18, 23, 25-27, 31-32

Mr. Mohammad Saddam Hossen, Advocate

....For the respondent-opposite-party no. 20

Heard and Judgment on 02.01.2024.

Present:

Mr. Justice Md. Mozibur Rahman Miah

And

Mr. Justice Mohi Uddin Shamim

Md. Mozibur Rahman Miah, J.

Since the point of law and facts involved in the appeal and that of the rule are intertwined, they have heard together and are being disposed of by this common judgment.

At the instance of the plaintiff in Title Suit No. 570 of 2023, this appeal is directed against the judgment and order dated 31.08.2023 passed by the learned Joint District Judge, 1st Court, Dhaka in the said suit rejecting the application filed by the plaintiff-appellant under section 151 of the Code of Civil Procedure.

The salient facts so figured in the application for injunction on which the instant rule being Civil Rule No. 926 (FM) of 2023 was issued are:

The present appellant-petitioner as plaintiff originally filed the aforesaid suit seeking following reliefs:

“a. A decree declaring that, the defendant nos. 1 and 3 violated the terms of the contracts bearing nos. SAL/BH/2022/09/07 dated 20.09.2022, FOI-SAL-SAN-080-2022 dated 16.10.2022, dated SAL/BH/2022/10/30 30.10.2022, FOI-SAL-SAN-083-2022 dated 30.11.2022 not taking delivery of the goods from the plaintiff;

b. A decree declaring that, the defendant nos. 4-32 violated the terms and contracts of the proforma invoice by delivering goods of inferior quality;

c. pass a decree directing the defendant nos. 1 & 3 to specifically perform the stipulations of the Contract being No. SAL/BH/2022/09/07 dated 20.09.2022, FOI-SAL-SAN-080-2022 dated 16.10.2022, dated SAL/BH/2022/10/30 30.10.2022, FOI-SAL-SAN-083-2022 dated 30.11.2022 made and executed between the plaintiff and the defendant nos. 1 & 3 by taking the goods on payment of agreed price equivalent to USD 91,60,220;

d. pass a decree of permanent injunction restraining the defendant no. 33 from making payment to the defendant nos. 4-32, nos. 11-32 against the Letter of Credit being Nos. 194922045599 dated 01.11.2022, 194922045652 dated 06.11.2022, 194922046019 dated 28.11.2022, 194922046068 dated 29.11.2022, 194922046097 dated 30.11.2022, 194922046402 dated 19.12.2022, 194922046462 dated 22.12.2022, 194922121074 dated 27.11.2022, 194922121126 dated 12.12.2022, 194923040332 dated 17.01.2023, 194923040766 dated 12.02.2023, 194923040944 dated 22.02.2023, 194923040973 dated 26.02.2023, 194923040834 dated 15.02.2023, 194923040876 dated 19.02.2023, 194923041067 dated 01.03.2023, 194923041160 dated 06.03.2023, 194923041272 dated 14.03.2023, 194923041647 dated 03.04.2023, 194923041718 dated

06.04.2023, 194923041862 dated 13.04.2023,
 194923041911 dated 16.04.2023, 194923120132 dated
 15.02.2023, 194923120146 dated 19.02.2023,
 194923041094 dated 02.03.2023, 194923040019 dated
 01.01.2023, 194923040152 dated 09.01.2023,
 194923040153 dated 09.01.2023, 194923040502 dated
 26.01.2023, 194923040555 dated 30.01.2023,
 194923040838 dated 15.02.2023, 194923041192 dated
 09.03.2023, 194923040513 dated 29.01.2023,
 194923040839 dated 15.02.2023, 194923040841 dated
 16.02.2023, 194923040842 dated 16.02.2023,
 194923040843 dated 16.02.2023, 194923040972 dated
 26.02.2023, 194923041193 dated 09.03.2023,
 194923041194 dated 09.03.2023, 194922060806 dated
 29.09.2022, 194922060924 dated 24.11.2022,
 194922060871 dated 27.10.2022, 194922060974 dated
 11.12.2022, 194922060975 dated 11.12.2022 ("LCs")
 till final accomplishment of the performance of said
 Contract being No. SAL/BH/2022/09/07 dated
 20.09.2022, FOI-SAL-SAN-080-2022 dated 16.10.2022,
 SAL/BH/2022/10/30 dated 30.10.2022, FOI-SAL-SAN-
 083-2022 dated 30.11.2022 by the defendant nos. 1 and
 3 in favour of the plaintiff;
 e. award costs of the suit in favour of the plaintiff;

f. grant such other or further relief or reliefs which as to your honour may seem fit and proper.

g. Any further relief and reliefs which the plaintiff is entitled to get under law and equity.”

On the same date of filing of the suit, the self-same plaintiff also filed an application under order XXXIX, rule 1 and 2 read with section 151 of the Code of Civil Procedure for temporary injunction restraining the defendant no. 33 for making any payment to the defendant nos. 11-32 against the letter of credit nos. 194922045599 dated 01.11.2022, 194922045652 dated 06.11.2022, 194922046019 dated 28.11.2022, 194922046068 dated 29.11.2022, 194922046097 dated 30.11.2022, 194922046402 dated 19.12.2022, 194922046462 dated 22.12.2022, 194922121074 dated 27.11.2022, 194922121126 dated 12.12.2022, 194923040332 dated 17.01.2023, 194923040766 dated 12.02.2023, 194923040944 dated 22.02.2023, 194923040973 dated 26.02.2023, 194923040834 dated 15.02.2023, 194923040876 dated 19.02.2023, 194923041067 dated 01.03.2023, 194923041160 dated 06.03.2023, 194923041272 dated 14.03.2023, 149423041647 dated 03.04.2023, 194923041718 dated 06.04.2023, 194923041862 dated 13.04.2023, 194923041911 dated 16.04.2023, 194923120132 dated 15.02.2023, 194923120146 dated 19.02.2023, 194923041094 dated 02.03.2023, 194923040019 dated 01.01.2023, 194923040152 dated 09.01.2023, 194923040153 dated 09.01.2023, 194923040502 dated 26.01.2023, 194923040555 dated 30.01.2023, 194923040838 dated 15.02.2023, 194923041192 dated 09.03.2023, 194923040513 dated 29.01.2023,

194923040839 dated 15.02.2023, 194923040841 dated 16.02.2023, 194923040842 dated 16.02.2023, 194923040843 dated 16.02.2023, 194923040972 dated 26.02.2023, 194923041193 dated 09.03.2023, 194923041194 dated 09.03.2023 (“LCs”).

In that very application an ad-interim injunction was also sought. Since basing on that application only show cause notice was issued upon the defendants by the learned Judge of the trial court. The plaintiff on 31.08.2023 filed another application under section 151 of the Code of Civil Procedure making self-same prayer so made in the application for temporary injunction restraining the defendant no. 33 from making any payment in favour of the defendant nos. 4-32. That application filed under section 151 of the Code of Civil Procedure was thus taken up for hearing by the learned Judge and vide impugned order, the same was rejected holding that, no injunction was sought against the defendant nos. 4-32 leaving the application incomplete.

It is at that stage, the plaintiff as appellant came before this court and preferred this appeal. After preferring the appeal, the appellant as petitioner then filed an application for temporary injunction making the self-same relief which was made at the trial court under section 151 as well as order XXXIX, rule 1 and 2 of the Code of Civil Procedure. However, this court vide order dated 01.11.2023 issued rule and passed an order of *status quo* in respect of making payment by the defendant no. 33 against the letter of credit bearing nos. 194922045599 dated 01.11.2022, 194922045652 dated 06.11.2022, 194922046019 dated 28.11.2022, 194922046068 dated 29.11.2022, 194922046097 dated 30.11.2022, 194922046402 dated

19.12.2022, 194922046462 dated 22.12.2022, 194922121074 dated
 27.11.2022, 194922121126 dated 12.12.2022, 194923040332 dated
 17.01.2023, 194923040766 dated 12.02.2023, 194923040944 dated
 22.02.2023, 194923040973 dated 26.02.2023, 194923040834 dated
 15.02.2023, 194923040876 dated 19.02.2023, 194923041067 dated
 01.03.2023, 194923041160 dated 06.03.2023, 194923041272 dated
 14.03.2023, 149423041647 dated 03.04.2023, 194923041718 dated
 06.04.2023, 194923041862 dated 13.04.2023, 194923041911 dated
 16.04.2023, 194923120132 dated 15.02.2023, 194923120146 dated
 19.02.2023, 194923041094 dated 02.03.2023, 194923040019 dated
 01.01.2023, 194923040152 dated 09.01.2023, 194923040153 dated
 09.01.2023, 194923040502 dated 26.01.2023, 194923040555 dated
 30.01.2023, 194923040838 dated 15.02.2023, 194923041192 dated
 09.03.2023, 194923040513 dated 29.01.2023, 194923040839 dated
 15.02.2023, 194923040841 dated 16.02.2023, 194923040842 dated
 16.02.2023, 194923040843 dated 16.02.2023, 194923040972 dated
 26.02.2023, 194923041193 dated 09.03.2023, 194923041194 dated
 09.03.2023, 194922060806 dated 29.09.2022, 194922060924 dated
 24.11.2022, 194922060871 dated 27.10.2022, 194922060974 dated
 11.12.2022, 194922060975 dated 11.12.2022 (“LCs”).

Mentionable, that very order of status quo was granted only for
 15(fifteen) days with a default order that no further extension of that order
 of status quo will be given.

Though the matter has been appearing at the top of the list for
 hearing with the name of the learned counsels for the appellant-petitioner

as well as the respondents-opposite-parties but the learned counsel for the appellant-petitioner did not show up to press the appeal and that of the rule nor make any endeavour to pray for adjournment of the hearing of the matter leaving us no option but to take up the appeal and the rule for hearing.

At this, Mr. S. M. Shakhawat Hossain, the learned counsel appearing for the respondent-opposite-party no. 13 by taking us to the impugned judgment and order and all the documents so have been appended with the application for injunction at the very outset submits that, in paragraph no. 9 to the plaint, it has clearly been asserted that, the goods so supplied by the defendant nos. 4-10 were not that satisfactory and those are of inferior quality when that very allegation has not been made against the defendant nos. 11-32 and therefore, having no scope not to make payment against the LC so issued by the plaintiff in favour of the respondent nos. 11-32 including the present respondent no. 13.

The learned counsel further contends that, since there has been no allegation against the defendant that, it has supplied any defective goods and the plaintiff exported the finished goods in favour of the defendant no. 1 upon manufacturing it from the materials so supplied by the defendant so there has been no reason not to make payment against the LC so issued by the plaintiff in favour of the defendant no. 13.

To substantiate his such assertion, the learned counsel then placed his reliance in the decisions reported in 33 DLR (AD) 298, 49 DLR (HCD) 260 and 57 DLR (AD) 194 and prayed for dismissing the appeal as well as discharging the rule.

On the other hand, Mr. A.B.M. Golam Mostafa, the learned counsel appearing for the respondents-opposite-party nos. 12, 14, 16-18, 23, 25-27 and 31-32 by filing a counter-affidavit at the very outset submits that, since it has already been settled by the Appellate Division that, the LC issuing bank cannot deny payment in favour of the importer/supplier herein the respondent nos. 12, 14, 16-18, 23, 25-27 and 31-32 so the impugned order passed by the learned Judge of the trial court is liable to be sustained and the appeal is to be dismissed.

The learned counsel further contends that, since the raw material so supplied by these respondents have not been found to be defective and in the international business transaction, the bank only deals with the documents not the goods which has already been settled by our Appellate Division and in the plaint, in the application for temporary injunction and the application filed under section 151 of the Code of Civil Procedure, there has been no allegation about any discrepancy of any shipping documents so placed by the very respondents to the respondent no. 33 so the respondent no. 33 can in no way halt the payment of the LC value against the respondent nos. 12, 14, 16-18, 23, 25-27 and 31-32 and finally prays for dismissing the appeal and that of discharging the rule.

In contrast, Mr. Mohammad Saddam Hossen, the learned counsel appearing for the respondent-opposite-party no. 20 has adopted the submission so placed by the learned counsels for the above respondents.

We have considered the submissions so advanced by the learned counsels for the respondents-opposite-parties and perused the memorandum of appeal and the impugned order as well as the documents

appended with the application for temporary injunction and the counter-affidavit so filed by the respondent nos. 12, 14, 16-18, 23, 25-27 and 31-32.

It has already been settled by our Appellate Division that the bank can only deal with the documents not with goods or consignment save for fraud if found to have committed in the business transaction. But in the four corners of the plaint as well as in the application for temporary injunction vis-à-vis the application filed under section 151 of the Code of Civil Procedure nothing sort of any allegation of fraud has been raised to have committed by those respondents leaving no scope by any court of law to restrain bank from making payment in favour of the supplier herein the aforesaid respondents.

Furthermore, from the plaint in particular, from paragraph nos. 9, 10, 11, we find that, some trifling allegation has been made against the foreign suppliers who were made as defendant nos. 4-10 about the inferior quality of goods. But given the above discussion that very allegation cannot be sustained since fraud was not found to have committed against those respondents as well. On top of that, it has already been settled in the decision reported in 57 DLR (AD) 194 where it has been propounded that *“It is now the settled principle of law that no Court can pass any restraining order on any issuing bank from making payment under letter of credit.”*

So basing on that very settled legal proposition, we don't find any iota of merit in the appeal and that of the rule and hence, the impugned order passed by the learned Judge of the trial court stands.

As a result, the appeal is dismissed however without any order as to cost.

Since the appeal is dismissed, the connected rule being Civil Rule No. 926 (FM) of 2023 is hereby discharged.

At any rate, the order of status quo granted at the time of issuance of the rule stands recalled and vacated.

The respondent no. 33, Exim Bank Limited, Gulshan Branch, Delta Life Tower, Plot No. 37, Road No. 45 & 90, Gulshan North C/A, Gulshan-2, Dhaka-1212 is hereby directed to take an urgent step for making payment of the LC value in favour those respondents forthwith.

Let a copy of this order be communicated to the said respondent no. 33 forthwith.

Mohi Uddin Shamim, J.

I agree.